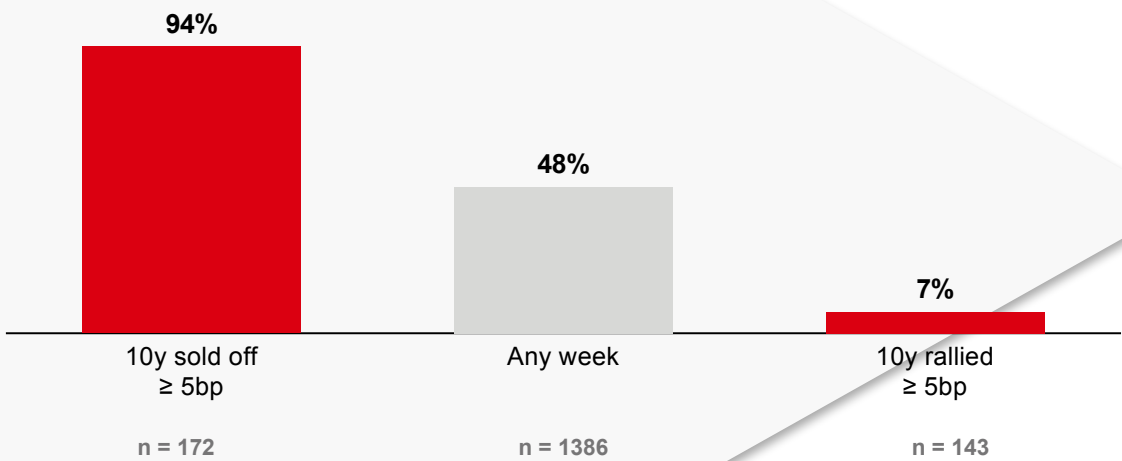


The curve does not move both ways the same

DV01-neutral removes the level risk. It does not make the slope non-directional, and the history says which way it leans.

Share of weeks 2s10s steepened, by what the 10-year did

Weekly, January 2000 to 31 July 2026, n = 1386. The 94% is the figure already on slide 8; it reproducing here is the check.



It does not symmetrise. The curve steepens in 94% of sell-off weeks and flattens in 93% of rally weeks. The back end leads in both directions, which is the whole position and also the whole risk.

0.40

Front-leg beta

Change in the 2-year per 1bp of 10-year, in rally weeks. Under half, so the long end leads.

¥6.8m

Per 10bp rally

Per ¥1bn of back leg. The 16bp stop is ¥14.1m, so about two such weeks.

The same cut, four ways

Conditional on	n	Mean Δ	Steepened
JGB 10y sold off ≥ 5bp	172	+5.42bp	94%
Any week	1386	0.00bp	48%
JGB 10y rallied ≥ 5bp	143	-5.23bp	7%
UST 10y rallied ≥ 15bp	125	-2.05bp	30%
Sell-off, 2y off the floor	80	+4.12bp	89%

Volunteer the last row. Restricted to weeks with the 2-year off the floor the sell-off figure is 89%, not 94%, on n = 80, and the rally beta rises to 0.51. If anyone asks whether the statistic is carried by the zero-rate years, that is the answer, and it is better given than extracted.

Two positions, six states, one shared failure

The policy drivers are independent. The risk-appetite exposure is not, and the last row is the one to say out loud.

State	Long CATL, 3750 HK	JGB 2s10s bear steepener
BoJ delivers September and December, long-end supply persists	Neutral	Pays bear steepening
BoJ pauses on the terms-of-trade squeeze	Neutral	Pays bull steepening, a 7% state
USD/JPY through 165, BoJ hikes to defend it	Neutral	Loses bear flattener, -¥26.3m
Commerce Entity List designation	Loses	Neutral
Storage order book confirms, Western OEM programme lands	Pays	Neutral
Global flight to quality	Loses	Loses ¥6.8m per 10bp of rally

Five of six states hit one position and not the other. The column of neutrals is the argument, and it means the diversification does not have to be taken on trust. The sixth row is the one that is genuinely shared, and it is on the slide rather than in the answer to a question.

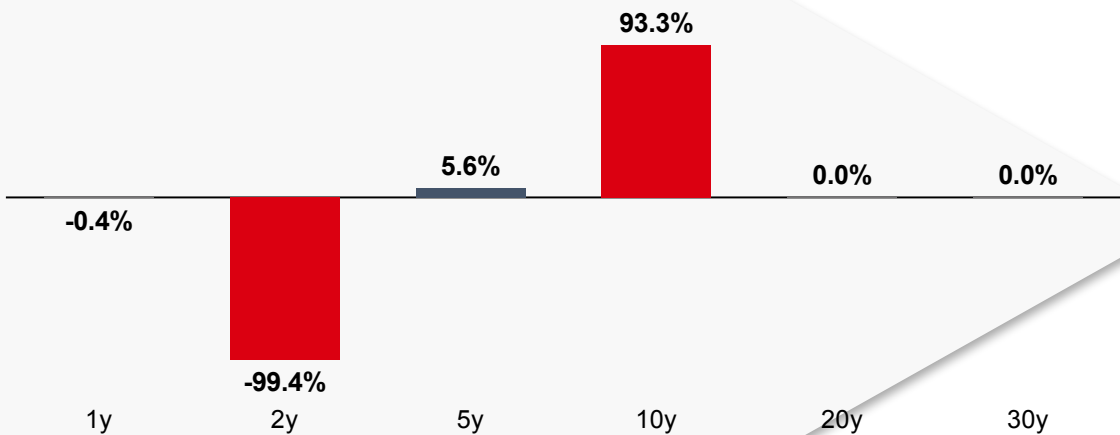
What replaces “no shared failure mode”: the policy drivers are independent, and that is real diversification. The risk-appetite exposure is not, and slide 4 measures it.

Where the risk sits, and what the entry is worth

The position is slope, not duration. The largest single determinant of what it returns is not the rates view, it is the entry.

Bucketed risk, % of the position's own DV01

Each node's zero rate bumped 1bp on its own, every cashflow of both legs revalued, then divided by the position's DV01.



The residual is short convexity, not a sizing error. 0.97% of DV01 survives a parallel move, and it loses in either direction: ¥0.80m on +50bp and ¥0.84m on -50bp, against the ¥25.8m the trade is asking for. We are short the longer and more convex leg. It cannot be sized away in advance because it only appears once the curve has moved.

What the entry is worth

Entry	Gross R:R	Net of 4bp round trip
129bp, spot	1.00	0.75 : 1
114bp, on the trigger	2.88	2.10 : 1

The level is fine. The entry is not. The trigger is not caution, it is the only thing that makes the arithmetic work.

And why not 2s30s

	2s10s	2s30s
Percentile since 2000	93rd	99th
Headroom to the high	35.5bp	12.3bp
Round trip, as a share of it	11%	33%
Best net risk-reward	2.10 : 1	1.12 : 1

Crossing half of a 2bp spread on each leg costs 2bp of slope to get in and 4bp round trip, whatever the tenors, because the legs are DV01-matched. What differs is what 4bp is worth against the move available.

What the book is exposed to, measured

Weekly, Jan-23 to Jul-26, n = 178. The two sleeves are uncorrelated to each other. The steepener's largest exposure is not the BoJ.

Correlation of weekly P&L

	Steepener	CATL
EQUITY		
S&P 500	+0.13	+0.17
Nikkei 225	+0.05	+0.18
Hang Seng	+0.06	+0.44
KOSPI	-0.00	+0.10
MSCI Asia ex-Japan	+0.04	+0.28
RATES AND CREDIT		
UST 10y yield	+0.53	+0.10
UST 20y+ price	-0.50	-0.11
US IG	-0.41	-0.01
US HY	-0.08	+0.12
FX		
Dollar index	-0.02	-0.03
USD/JPY	+0.19	+0.03
USD/CNY	+0.01	-0.12
COMMODITY AND VOL		
Gold	-0.05	-0.05
Brent	+0.19	+0.11
Copper	+0.10	+0.21
VIX	-0.15	-0.14

Red positive, navy negative, saturating at |p| = 0.60.

+0.06

Sleeve to sleeve

CATL against the steepener, n = 178. The diversification is real and it is measured, not asserted.

+0.53

Steepener to UST 10y

Its largest single exposure. About a quarter of the weekly variance is US rates, not the BoJ.

27%

Diversification benefit

At equal standalone risk. Falls to 24% in the risk-off quintile.

And the same numbers in the worst quintile of S&P weeks

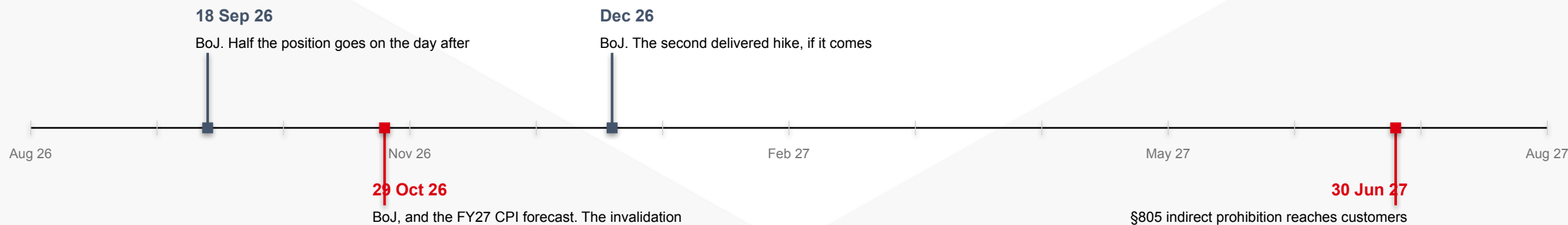
Steepener against	All weeks	Risk-off	Shift
S&P 500	+0.13	+0.42	+0.30
Hang Seng	+0.06	+0.21	+0.16
UST 20y+ price	-0.50	-0.70	-0.20
US HY	-0.08	+0.03	+0.11
USD/JPY	+0.19	+0.36	+0.17
Gold	-0.05	+0.14	+0.18

The diversification degrades in exactly the state that needs it. Against the S&P the steepener runs +0.13 across all weeks and +0.42 in the worst quintile: it stops being a hedge and starts being another long.

Size off the H share, not the A. 3750 HK listed 20 May 2025, so it carries 62 weeks. The A share runs 33% annualised against the H share's 48%, $\rho = 0.76$. Sizing off the A understates the position.

One calendar, and the risks that are not on it

Every dated risk in the book, on one axis. The two that matter most have no date at all, and they are named underneath.



And the two that carry no date

A Commerce Entity List designation

The CATL risk with no calendar. 1260H already feeds EAR action, and a designation can land on any morning. It is why the position is scaled in rather than sized in one go, and why the hedge is a listed put rather than a stop.

USD/JPY through 165

A level, not a date. MOF intervened on 30 July at 163, so this is a live line rather than one read off a chart. Through it and holding, the BoJ hikes to defend the currency and the curve bear-flattens. That is the state the steepener loses in.

A timeline that shows only the scheduled risks implies the book is only exposed to scheduled things. Both of the positions' largest single risks are undated. Putting them beneath the axis rather than on it is the honest version, and it is a better answer than being asked.

What a loss looks like, and how often noise alone delivers it

The stop is 16bp. The position's own volatility is 30bp annualised. Those two numbers have to be shown together.

46%

Stopped by noise, 6m

Probability of touching 98bp from a 114bp entry on a driftless walk at the measured volatility.

29%

The same, over 3m

Shorter horizon, less time to be wrong by accident. The entry trigger is what buys this down.

Where the stop sits against the noise

Horizon	1σ of slope	16bp stop	20bp net
3 months	15.2bp	29%	19%
6 months	21.6bp	46%	35%
12 months	30.5bp	60%	51%

This is the number that makes the 2.1 : 1 honest. A stop of 16bp against 30bp of annualised slope volatility is roughly one standard deviation over six months. The risk-reward is real and it is not the same as the probability of collecting it. Assuming zero drift is conservative against our own thesis, which is the right direction to be wrong in.

The loss, in yen

Per ¥1bn of back leg	Slope	P&L
Stop, gross of costs	-16bp	-¥14.1m
Stop, net of the round trip	-20bp	-¥17.6m
Worst modelled state, bear flattener	-30bp	-¥26.3m
Mean rally week, measured	-5.2bp	-¥4.6m
Target, net	+42bp	+¥37.1m
1σ, six months	±21.6bp	±¥19.0m

And what it costs to wait

	3m	6m	12m
Carry and roll, 2s10s	+2.5bp	+2.4bp	-5.8bp
FX hedge, annualised	+282bp	+282bp	+282bp

Carry turns negative at twelve months. That is the arithmetic reason for a time stop, not an argument against the trade, and it should be given in that order.

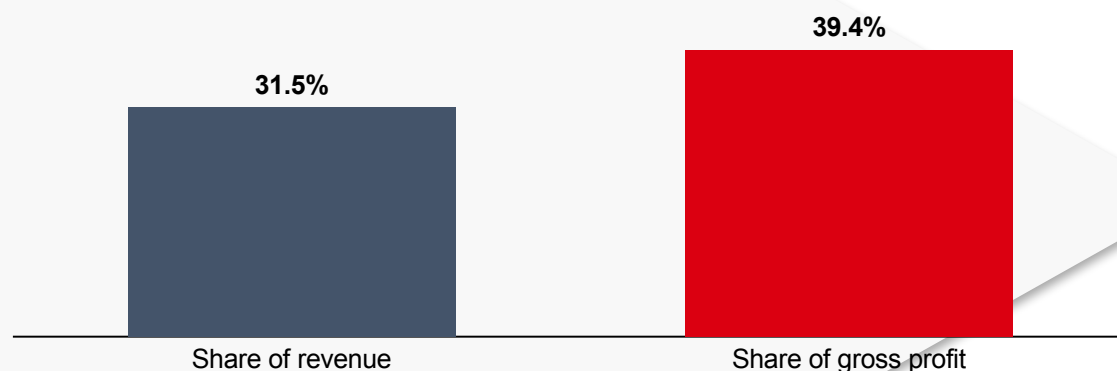
The gap, stated: CATL's entry, target and stop are still open. This slide quantifies one position and not the other. Set them off the live price, or say on the slide that they are open.

CATL: the exposure is the profit, not the revenue

The number everyone quotes is the 31.5% revenue share. It understates the position, because the exposed third is the profitable third.

Overseas share of H1 2026, %

Same company, same half-year, two denominators. Overseas earns 30.0% gross margin against 21.2% at home.



A third of the revenue produces two fifths of the gross profit. Run it one step further and the overseas gross profit is CNY 26bn against group net profit of CNY 43.3bn, so on the order of 60% of what the company earns. That is the quantum a §805-driven exclusion puts in play.

60%

Of group net profit

Overseas gross profit as a share of H1 net profit. An upper bound on what is at stake, not an estimate of it.

30 Jun 27

The date it reaches customers

§805 indirect prohibition. Statutory, not forecast, and inside the position's horizon.

The arithmetic, on the slide

H1 2026, CNY bn	Overseas	China	Group
Revenue	87.1	189.8	276.9
Gross margin	30.0%	21.2%	23.9%
Gross profit	26.1	40.2	66.3
Share of gross profit	39.4%	60.6%	100%
Net profit	—	—	43.28

Say what the number is not. Gross profit carries no allocated operating cost, so 60% is a ceiling on the earnings at stake rather than an estimate of them. Presenting it with that attached is stronger than presenting the revenue share and hoping nobody divides.

The same book under seven states

Each rates row is a whole curve shifted and rebootstrapped, then the cashflows revalued. They are not a slope multiplied by a DV01.

State	Steepener, per ¥1bn	CATL	Note
Bear steepener · 2y +10, 10y +40	+¥25.8m	Neutral	
Bull steepener · 2y -40, 10y flat	+¥35.4m	Neutral	a 7% state conditional on a rally
Parallel +50bp	-¥0.80m	Negative	discount rate
Parallel -50bp	-¥0.84m	Positive	
Bear flattener · 2y +40, 10y +10	-¥26.3m	Neutral	the modelled worst case
Mean rally week, measured	-¥4.6m	Negative	the shared state, from the data
Entity List designation	Neutral	The stop	undated

The two parallel rows are the point of the table. They are not zero, and they are not mirrors of one another: -¥0.80m on +50bp and -¥0.84m on -50bp. The package loses on a parallel move in either direction because it is short the longer and more convex leg. A slope-times-DV01 table would print zero twice and hide it.

Only one row is measured rather than modelled. The rally week is the mean of the 143 weeks since 2000 in which the 10-year rallied 5bp or more. Every other row is a stated shift. Labelling which is which is the difference between a stress test and a set of assumptions.

What we are not hedged for

A global flight to quality. The JGB long end leads the rally, 2s10s flattens, and Asian growth equity de-rates in the same weeks.

It is the one state in which both sleeves lose together, and it is measured rather than feared: **the steepener runs +0.13 against the S&P across all weeks and +0.42 in the worst quintile.** Sizing is the only answer we have to it. There is no cheap hedge that does not cost more than the risk.

The falsifier is unchanged: a durable Hormuz settlement frees the BoJ and lifts Asian growth equity at once.